NEBIUS GROUP N.V.

Nasdaq: NBIS | AI computing centres built and rented out to Microsoft, Meta and AI labs | Netherlands

Tommy Lau | 6 October 2026 | Initiation | Independent research

INITIATE AT NO CALL	**Target price:** none	**Last price:** US$232.57	**Re-look:** below ~US$185

Nebius builds AI computing centres and rents them out to companies such as Microsoft and Meta. It earns money only once the power is on and the chips are running, and its new contracts pay roughly twice what the existing fleet earns per megawatt. Both engines are real. At US$232.57 the shares already assume Nebius switches on most of its contracted power quickly, at the new, higher prices.

We initiate at NO CALL, with medium conviction. There is no target price. My base case for October 2027 is worth about US$229, 1% below the price; the probability-weighted value is about US$242, 4% above it; the bear case is US$78, a 66% fall. That is a stock where the market already agrees with the thesis.

> **What turns this into a call.** A price below about US$185, where the base case offers about a quarter of upside. Or fourth quarter 2026 results, early in 2027, showing at least 800 MW connected, year-end annualised revenue inside the US$7 to 9bn guide and new deals still at US$20m per MW or more.

Share counts, cash, notes and warrants from Nebius's interim statements to 30 June 2026 and its August 2026 releases. If-converted count, equity value, pro forma cash and EV are my own; see CapStructure in the model. Prices, consensus and short interest from Yahoo Finance, retrieved 6 Oct 2026.

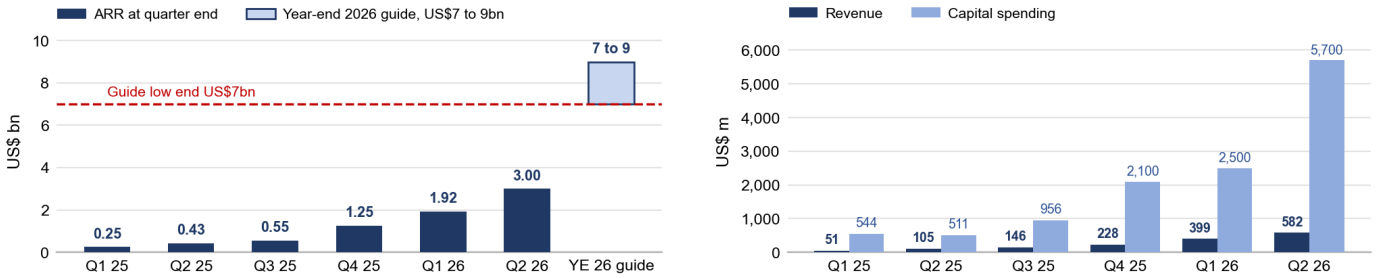
Stock data
CALL **No call, no position at this price. Medium conviction**
REFERENCE PRICE **US$232.57, Nasdaq close 5 Oct 2026**
HORIZON **12 months, to October 2027**
MONTH-END CLOSES, NOV 2024 TO SEP 2026 **US$21.11 (Mar 25) to US$276.17 (Jun 26)**
BASIC SHARES, 30 JUN 2026 **271.9m (238.4m Class A, 33.5m Class B)**
SHARES, IF-CONVERTED (MY COUNT) **~369.6m**
EQUITY VALUE, IF-CONVERTED **~US$86bn**
PRO FORMA CASH / DEBT STAYING AS DEBT **~US$14.5bn / ~US$6.5bn**
ENTERPRISE VALUE **~US$78bn**
EV / 2027 EBITDA, CONSENSUS REVENUE AT 50% **~12.7x**
EV / 2027 CONSENSUS REVENUE **6.3x**
REMAINING PERFORMANCE OBLIGATIONS **US$37.49bn, 30 Jun 2026**
TOP THREE CUSTOMERS, Q2 2026 REVENUE **59% (24%, 21%, 14%)**
SHORT INTEREST, 15 SEP 2026 **46.78m shares, ~19.8% of float**

Key financials

US$m unless stated	Q1 25	Q2 25	Q3 25	Q4 25	Q1 26	Q2 26	2026 g / c	2027 c
Revenue	50.9	105.1	146.1	227.7	399.0	582.3	3,340 c	12,300 c
Annualised run-rate (ARR), US$bn	0.25	0.43	0.55	1.25	1.92	3.00	7.0 to 9.0 g	n.a.
Capital spending	544.0	510.6	955.5	~2,100	~2,500	~5,700	20,000 to 25,000 g	n.a.
Capital spending per US$1 of revenue (x)	10.7	4.9	6.5	9.2	6.3	9.8	n.a.	n.a.
AI cloud adj. EBITDA margin (%)	n.d.	n.d.	19.0	24.0	45.0	49.7	n.a.	50.0 e
EBITDA at a 50% margin on consensus								~6,200 e
Connected power, end of period (MW)							800 to 1,000 g	

g = Nebius guidance, Q2 2026 shareholder letter, 12 Aug 2026. c = Yahoo Finance consensus, 6 Oct 2026. e = my assumption, applied to consensus revenue; it is not a forecast of my own. ~ = approximate, as reported. Before 2026, ARR covers the core AI infrastructure business. Q1 2025 capital spending is the first half less the second quarter. n.d. = not disclosed on a comparable basis. Source: Nebius shareholder letters and Form 6-K results.

To hit even the bottom of its guide, Nebius must more than double its run-rate in six months



Left: ARR at quarter end against the US$7 to 9bn year-end 2026 guide. Right: quarterly revenue against capital spending; in Q2 2026 Nebius spent about ten dollars building for every dollar it earned. Source: Nebius shareholder letters, Q2 2025 to Q2 2026; Q4 2025 to Q2 2026 capital spending approximate, as reported.

The thesis: paid for power that is switched on

Nebius closed at US$232.57 on 5 October 2026, more than ten times its price when trading resumed in October 2024. In that time it went from a leftover of Yandex with one data centre in Finland to a supplier of AI capacity to Microsoft and Meta. In my 30 September journal piece I argued that Nebius is paid for megawatts that are switched on, not megawatts it has signed. This note asks a narrower question. If that is how Nebius gets paid, what is a share worth, and does the price already know?

Think of an industrial kitchen. Nebius has booked the gas supply for five kitchens and expects to light about one this year. Its customers pay only for meals from lit ovens. Lighting the ovens is not the moment the money starts, though. After the power is connected, Nebius still has to build the network, assemble the clusters, install its software and bring the customer on. Its chief infrastructure officer described that sequence on the August results call, and said the stretch after connection takes several months.

That changes what the number I watch actually measures. Nebius defines connected power as power wired into fully built and equipped data centres. Active power is what is feeding running chips and earning money. Connected comes first, and active follows months later. So the business has two engines. Speed decides how many megawatts bill. Price per megawatt is roughly doubling as new contracts replace the old fleet. Both have to keep working for the shares to rise from here.

The reconciliation: US$20 to 25m per MW, yet only US$7 to 9bn of run-rate

A gap sat open in my notes from September. Nebius says its large second quarter deals carry annual contract value of US$20 to 25m per megawatt. Multiply that by 800 MW and you get US$16 to 20bn a year. Yet Nebius guides to annualised revenue of only US$7 to 9bn at the end of 2026. Three things in Nebius's own words close the gap.

Step	Low	High	Working
Connected power, end 2026 (bottom of guide)	800 MW	800 MW	Guide is 800 MW to 1 GW
New-deal contract value per MW	US$20m	US$25m	Q2 2026 large deals
Naive revenue if every connected MW billed at new prices	US$16bn	US$20bn	800 x US$20 to 25m
Year-end 2026 ARR guide	US$7bn	US$9bn	ARR is December revenue x 12
Fleet base contract value per MW	US$12m	US$12m	Most new deals earn mainly in 2027
MW billing in December implied by the guide	~583 MW	750 MW	US$7 to 9bn / US$12m
Connected but not yet billing	~217 MW	50 MW	The lag from connected to active
Cross-check, end 2025: ARR per active MW	US$7.4m		US$1.25bn / ~170 MW active

Source: Nebius Q2 2026 shareholder letter, 12 Aug 2026, for the run-rate guide and contract value per MW; Q1 2026 letter, 13 May 2026, for the connected power guide and the definitions of connected and active power. Working is mine; see ARR_Recon in the model.

First, annualised revenue is December's revenue multiplied by twelve, so it captures only what is billing that month. Second, the US$20 to 25m applies to the new deals, against an approximate base of US$12m for the 2026 fleet. Third, Nebius says most of those new deals were signed against capacity arriving in late 2026 and will mainly earn in 2027. At US$12m per megawatt, US$7 to 9bn of run-rate means about 580 to 750 MW billing in December. That sits below 800 MW connected, which is exactly what a lag of several months looks like. At the end of 2025, US$1.25bn of run-rate sat on about 170 MW

active, roughly US$7.4m each, from older and cheaper contracts; the 2026 base of about US$12m reflects newer contracts replacing them.

The test is active power. Connected power is the building, finished and equipped; active power is the chips running and billing, which is what customers pay for, and it trails connection by several months. The gap above shows it: Nebius's contract value per megawatt and its run-rate guide do not fit together unless much of its connected power is not yet billing, and its own definitions confirm that.

The edge the claim describes is still speed, but the right test is active power, not connected. Nebius does not report active megawatts each quarter, so I read them through run-rate divided by the fleet price per megawatt. Hitting 800 MW connected by the end of 2026 is necessary. It is not yet revenue.

Variant perception: what the market prices in, and where I differ

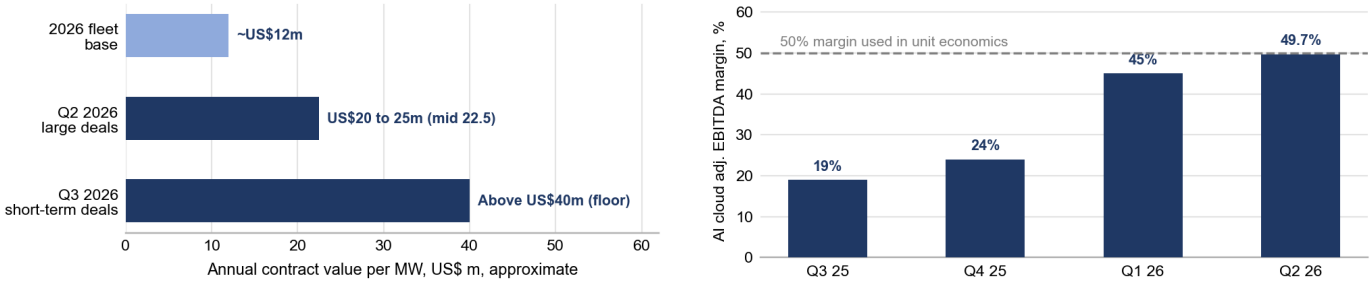
On my count, Nebius's equity is worth about US$86bn at US$232.57, if every convertible note that is currently worth converting turns into shares. That count uses about 370m shares, including options, restricted stock and Nvidia's pre-funded warrants. After the August note issue I estimate cash of about US$14.5bn before third quarter spending, against about US$6.5bn of notes and loans that would stay as debt. That gives an enterprise value of about US$78bn.

Against that, consensus expects revenue of US$3.34bn in 2026 and US$12.3bn in 2027. At a 50% margin, 2027 EBITDA would be about US$6.15bn. The enterprise value is about 12.7 times that, and 6.3 times 2027 revenue. CoreWeave, the closest listed rival, trades at about 3.6 times its 2027 revenue on the same source, and Oracle at about 4.3 times its next year's revenue. So the market already gives Nebius a premium, and it rests on one belief: that Nebius turns contracted power into earning power faster and at better prices than anyone else.

That is my September claim. The difference is that I think the price now pays for it in advance. Consensus revenue of US$12.3bn for 2027 already assumes the year-end run-rate roughly doubles again through 2027. It assumes Meta's second contract comes online on time in early 2027, and that new deals keep pricing at US$20m a megawatt or more.

Where I differ is on what could break. The bull story treats five gigawatts as a pipeline. I treat it as a promise to spend. At my estimate of about US$30m of capital per megawatt, five gigawatts is roughly US$150bn of building, against an if-converted equity value of US$86bn. Customers prepay part of it, but the rest needs debt and new shares. And if Meta builds a business selling its own spare capacity, as Bloomberg reported on 1 July, the price per megawatt is the first thing to give.

Unit economics: new contracts pay twice the old, and that is the whole case



Left: annual contract value per MW, approximate, revenue recognition basis excluding prepayments; the Q2 bar is the midpoint of US$20 to 25m and the Q3 figure a floor. Source: Nebius Q2 2026 letter, 'ACV per MW is stepping up'. Right: AI cloud adjusted EBITDA margin. Source: Nebius shareholder letters, Q3 2025 to Q2 2026.

These are my estimates, built on Nebius's figures. I take the cost of a megawatt at about US$30m, from capital spending of US$20 to 25bn in 2026 against roughly 600 to 800 MW of new connected power, some of which is spending for 2027. I assume 80% of that is chips and network, worn out over five years, and the rest is building, worn out over twenty. That is US$5.1m of wear a year. Margin before those costs is 50%, close to the 49.7% the AI cloud business reported.

Contract value per MW	EBITDA per MW	Profit per MW after wear	Pre-tax return on US$30m
US$12m, the 2026 fleet	US$6.0m	US$0.9m	3%
US$20m, new deals, low	US$10.0m	US$4.9m	16%
US$25m, new deals, high	US$12.5m	US$7.4m	25%

My estimates. Wear: US$24m of chips and network over 5 years plus US$6m of building over 20 years. See UnitEcon in the model.

This table is the whole case in three lines. At the old price, a megawatt barely earns back its cost before the chips age out. At the new price, it earns a good return, and prepayments that fund half the building raise the return on Nebius's own money further. The shares are a bet that the new price lasts through the whole build.

Valuation: three cases, twelve months out

By October 2027 the market will be pricing 2028. I value 2028 EBITDA at a multiple, then subtract the net debt I expect by the end of 2027, after another year of heavy building. I assume some new shares are sold along the way. The base multiple of 11 times sits between CoreWeave and where Nebius trades today.

Case	What happens	2028 revenue	Margin	Multiple	Net debt	Shares	Value	Change
Bear	Connection slips, new prices fall towards the old	US$16bn	40%	8x	US$20bn	400m	US$78	-66%
Base	About 800 MW connected on time, prices hold	US$21bn	45%	11x	US$15bn	388m	US$229	-1%
Bull	More than 1 GW a year from 2027, prices keep rising	US$27bn	50%	13x	US$10bn	385m	US$430	+85%
Weighted	**25% bear, 50% base, 25% bull**						**US$242**	**+4%**

Value = (2028 revenue x margin x multiple, less end-2027 net debt) / shares. Change against US$232.57. All my estimates; see Scenarios in the model.

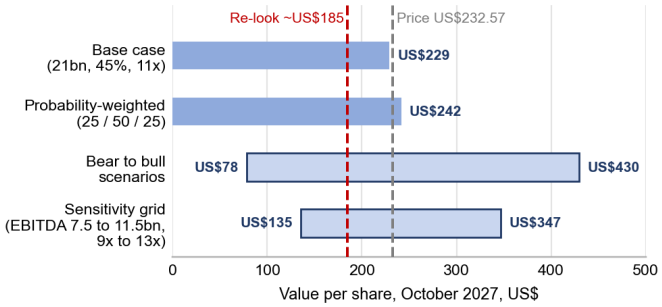
Sensitivity: value per share, US$

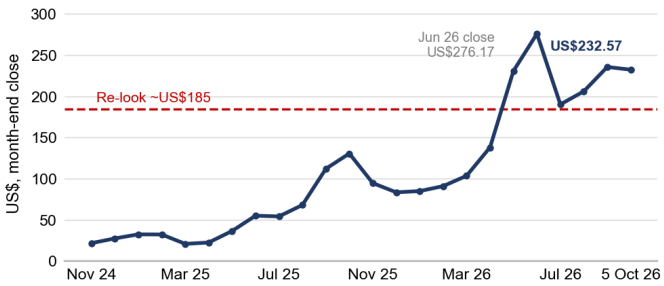
2028 EBITDA	9x	11x	13x
US$7.5bn	US$135	US$174	US$213
US$9.5bn	US$182	US$231	US$280
US$11.5bn	US$228	US$287	US$347

Net debt US$15bn and 388m shares throughout. The range is wide and centred close to today's price.

EV build at US$232.57

Item	US$bn
If-converted shares, ~369.6m x US$232.57	~86.0
Less: pro forma cash before Q3 spending	(14.5)
Plus: notes and loans staying as debt	6.5
Enterprise value	**~78.0**
EV / 2027 EBITDA (~US$6.15bn)	12.7x
EV / 2027 revenue (US$12.3bn)	6.3x





Left: valuation cross-check against the price (grey) and the US$185 re-look level (red); my estimates. Right: month-end closes, Nov 2024 to Sep 2026, and the 5 Oct 2026 close. The shares fell 17% on 1 July 2026, the day Bloomberg reported that Meta plans to sell its own spare computing capacity. Source: Yahoo Finance, retrieved 6 Oct 2026.

Capital structure: six notes count as shares, two stay as debt

Instrument (maturity)	Principal, US$m	Coupon	Conversion price, US$	In the money	Shares if converted, m	Treated as
Jun 2029	100.00	2%	51.45	Yes	1.9	Shares
Jun 2031	100.00	3%	51.45	Yes	1.9	Shares
Sep 2030	1,581.25	1%	138.75	Yes	11.4	Shares
Sep 2032	1,581.25	2.75%	138.75	Yes	11.4	Shares
Mar 2031	2,587.50	1.25%	183.22	Yes	14.1	Shares
Mar 2033	1,750.00	2.625%	180.31	Yes	9.7	Shares

Feb 2030	3,450.00	0.5%	313.46	No	11.0	Debt
Feb 2034	2,300.00	4.5%	324.65	No	7.1	Debt
Secured facility, SOFR + 2.50%, to Oct 2030	~775					Debt

Jun 2029 and Jun 2031 notes are what remains after US$800m was exchanged for ~15.8m shares around 24 Aug 2026. The Feb 2030 and Feb 2034 notes were issued in August 2026. Source: Nebius interim statements to 30 Jun 2026 and releases of 10 Jul, 19 Aug and 24 Aug 2026.

If-converted share bridge	Shares, m
Basic shares, 30 Jun 2026	271.9
Nvidia pre-funded warrants	21.1
Issued ~24 Aug for 2029/2031 notes	~15.8
Options, treasury method	4.2
Restricted stock units	6.2
Six in-the-money convertible notes	50.5
If-converted shares	**~369.6**

The funding picture matters as much as the count. Nebius raised about US$5.75bn of convertible notes in August, sold 12.7m shares at an average of US$223.60 through its at-the-market programme in May and June for about US$2.81bn net, and took US$2bn from Nvidia in March. Deferred revenue, where customer prepayments sit, was about US$6.0bn at 30 June (US$979.4m current, US$4,995.8m non-current), against remaining performance obligations of US$37.49bn. Second half capital spending implied by the guide is US$12 to 17bn.

Peer landscape

Company	Ticker	Revenue multiple	Basis	What they do
Nebius	Nasdaq: NBIS	6.3x	EV / 2027 revenue, my EV	Builds and runs AI computing centres, rents the capacity
CoreWeave	Nasdaq: CRWV	3.6x	EV / 2027 revenue	AI cloud, the closest listed rival
Oracle	NYSE: ORCL	4.3x	Next financial year revenue	Software and cloud, building AI capacity
IREN	Nasdaq: IREN	2.4x	Next financial year revenue	Powered data centre sites, AI cloud

Multiples from Yahoo Finance, retrieved 6 Oct 2026, except Nebius, which is on my enterprise value. Bases and financial years differ, so the table frames the premium rather than setting a value.

Catalysts: the evidence is dated

When	Event	What I watch
~10 to 11 Nov 2026, not confirmed by Nebius	Q3 2026 results	Connected MW against the pace needed for 800 MW; prepayments in new deals; run-rate progress from US$3.0bn
Early 2027	Q4 2026 results	At least 800 MW connected; year-end run-rate inside US$7 to 9bn; new deals at US$20m per MW or more
Early 2027	Capacity for Meta's second agreement (announced 16 Mar 2026) due	On time, as consensus 2027 revenue assumes
Any time	Meta selling its own spare capacity (Bloomberg, 1 Jul 2026)	Pricing of new deals per MW
Any time	Further share or note issues	Price and size against second half capital spending of US$12 to 17bn

Risks

Connection slips. Nebius guides to 800 MW to 1 GW connected by the end of 2026. Missing the bottom of that range would mean its edge is not speed, which breaks both the claim and the call.

The price per megawatt falls. The return table shows how much rests on new deals pricing at US$20m or more. Meta selling spare capacity, or hyperscalers catching up on their own building, would push that down. The rise of 17 to 21% in on-demand GPU prices reported from 1 October points the other way for now, though I have not confirmed it on a Nebius page.

Funding. Second half capital spending implied by the guide is US$12 to 17bn. More new shares are likely, and at a lower price they would cost holders more.

Customer concentration. Three unnamed customers made up 59% of second quarter revenue, at 24, 21 and 14%. A pause by one of them changes the year.

Ageing chips. A switched-on hall of older chips earns less each year. Nebius must keep replacing them, which is why I depreciate chips over five years rather than longer.

What would change our mind

Direction	Trigger
To LONG	Either is enough. A price below about US$185, where the base case offers about a quarter of upside. Or Q4 2026 results, early 2027, showing at least 800 MW connected, year-end run-rate inside US$7 to 9bn and new deals still at US$20m per MW or more. That would move weight from the base case to the bull case.
To SHORT	Connection behind the pace in the Q3 results, expected around 10 or 11 November though Nebius has not confirmed the date, together with falling prepayments. About a fifth of the free float was already sold short in mid September, so a short would join a crowded trade.
The call is wrong if	Connected power at the end of 2026 comes in below the 800 MW bottom of Nebius's own range, or year-end run-rate lands below US$7bn, or prepayments appear in fewer than half of new deals.

Conclusion

The September claim holds up. Nebius earns money only from capacity that is running, its new contracts pay roughly twice the old ones, and customers prepay to hold their place. The gap between US$20 to 25m per megawatt and a US$7 to 9bn run-rate is explained by the lag between connecting power and billing for it. But the market has read the same letter. At about 12.7 times 2027 EBITDA, the price assumes fast connection and lasting new-deal pricing. My call is no call at US$232.57, held with medium conviction. I would go long below about US$185, or at today's price once the fourth quarter results show the power switching on as promised.

Sources

Nebius quarterly shareholder letters and results on Form 6-K, Q2 2025 to Q2 2026: revenue, annualised run-rate, margins, capital spending, power and customer concentration.

Nebius Q2 2026 shareholder letter, 12 August 2026: run-rate guide, contract value per megawatt and prepayments. Nebius Q1 2026 shareholder letter, 13 May 2026: definitions of connected and active power, and the 800 MW to 1 GW connected guide. Nebius Q2 2026 earnings call, 12 August 2026: capital spending guide, connected guide as reaffirmed, deployment sequence.

Nebius interim financial statements to 30 June 2026: shares, cash, restricted cash, deferred revenue, remaining performance obligations, notes, options, restricted stock units and warrants. Nebius releases of 19 and 24 August 2026 on the convertible notes, and of 10 July 2026 on the secured loan.

Nebius Form 6-K on the Microsoft agreement, 8 September 2025, and announcement of the second Meta agreement, 16 March 2026. Bloomberg News on Meta's cloud plans, 1 July 2026.

Consensus revenue, peer multiples, short interest and share prices: Yahoo Finance, retrieved 6 October 2026. On-demand GPU price changes as reported by Spheron and Coin Republic, September 2026.

Unit economics, pro forma cash, net debt, share count, 2028 scenarios and the sensitivity grid are my own estimates.

About this note

I wrote this note and built the accompanying model, 2026-10-06_Nebius_Model.xlsx, independently. The model carries live formulas off blue input cells across its tabs, including the run-rate reconciliation, unit economics, the if-converted share bridge, scenarios and sensitivity, and every output was recalculated and checked against an independent rebuild before publication. The note sets out at initiation depth the call published on 6 October 2026 at thephysicallayer.fyi/research; the figures, the call and the re-look levels are unchanged from that pitch. It builds on my journal piece of 30 September 2026, thephysicallayer.fyi/journal/nebius-paid-for-what-is-switched-on, which stays as published. Figures from Nebius filings are labelled as such; everything else, including the estimates, scenarios and the call, is my own view. I hold no position in Nebius. Personal research, not investment advice.

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